

Supply side economics and the Laffer curve

During the 1980s, government policies to manage the level of demand in the economy fell out of favour. The focus shifted to enhancing the supply side of the economy – that is, to making firms and workers more productive. One idea was that high taxes blunted incentives and so hobbled the supply side – the implication was that cutting taxes would stimulate the economy. American economist Arthur Laffer proposed a relationship between the tax rate and government revenue that came to be known as the Laffer curve. One might expect a cut in tax rates to reduce government revenue, but in fact the Laffer curve suggests this might not always be the case. When taxes are very high, people have less incentive to work and so economic output is restricted, lowering tax revenue. From this point, a reduction in the tax rate is outweighed by the increase in output that is stimulated, so increasing overall tax revenue. In practice, things aren't quite so simple and supply side policies often involve broader measures such as regulatory reform and privatization.

